

ENTREPRENEURSHIP EDUCATION

COURSE OUTLINE

1. ENTREPRENEURSHIP- definition of terms

- contribution of entrepreneurship towards national development
- self-employment verses salaried employment

2. EVOLUTION OF ENTREPRENEURSHIP

- history of entrepreneurship in Kenya
- economic, political and social factors affecting entrepreneurial development
- entrepreneurial cultural practices in Kenya, South Africa and India

3. ENTREPRENEURIAL CULTURE

- The entrepreneurial culture
- cultural factors that promote entrepreneurial culture
- cultural factors inhibiting entrepreneurial development
- ways of managing factors that inhibit development of entrepreneur culture

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- types of entrepreneurs
- characteristics of an entrepreneur
- role of an entrepreneur in an enterprise

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- business idea generation
- sources of business ideas
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- procedure of starting a small enterprise
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- managing the business finances
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- emerging trends in enterprise management

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- management of challenges posed by emerging trends and issues in
Entrepreneurs

TOPOC 1: ENTREPRENEURSHIP

Definition of Entrepreneurship, entrepreneur and enterprise

Definition an entrepreneur

An entrepreneur is basically a person who identifies a business opportunity, harnesses and obtains the resources necessary to initiate a successful business activity. He/she is a person who sets up a business/ businesses taking on financial risks in the hope of profit.

- The entrepreneur implements the idea
- Undertakes to operate the business
- An entrepreneur is therefore a central key individual in the society who makes things happen for economic development.

Entrepreneurship meaning

- In the broader sense entrepreneurship refers to the means of stimulating innovative and creative undertakings for a better business community or world.
 - Entrepreneurship is a French word meaning to undertake and focuses on a business enterprise
 - Entrepreneurship can exist in any situation – therefore it is the creation of values through establishing a business enterprise.
 - Entrepreneurship means having an idea of one's own and trying to implement the idea to create values on it.
 - Entrepreneurship is a term which encompasses what entrepreneurs do i.e.
-
- ✓ Identifying a business opportunity of a particular demand o Look at the opportunity as a process of creating, something that did not exist.
 - ✓ Constantly searching/ harnessing one's environment and resources to implement the activities.
 - ✓ Creating a totally new product and using it in as new.
 - ✓ Entrepreneurship there is the practice at starting of a new business or revitalizing existing businesses in response to identifying opportunities.

What is an Enterprise?

The term “enterprise” has two common meanings:

- i. An enterprise is simply another name for a business. You will often come across the use of the word when reading about start-ups and other businesses... “Simon Cowell’s enterprise” or “Michelle set up her successful enterprise after leaving teaching”.
- ii. The word enterprise describes the actions of someone who shows some initiative by taking a risk by setting up, investing in and running a business.

A person who takes the initiative is someone who “makes things happen”. He or she tends to be decisive.

A business opportunity is identified and the person does something about it. Showing initiative is about taking decisions and being bold – not everyone is like that! Risk-taking is slightly different. In business there is no such thing as a “sure fire bet”.

All business investments carry an element of risk – which is the chance or probability that things will go wrong. At the worst, the risk of an enterprise might mean the person making the investment loses all his/her money or becomes personally liable for the debts of the business.

The trick is to take calculated risks, and to ensure that the likely returns from taking a risk are enough to make the gamble worthwhile. Someone who shows enterprise is an “entrepreneur”. A business enterprise can also be looked at as:

Any type of operation that is involved in providing goods or services with the anticipated outcome of earning a profit. Its broad nature allows the term

to be applied to any type of company or firm that is geared toward generating revenue by selling products of any type. The Terms Company, firm, and business enterprise are often used interchangeably.

CONTRIBUTION OF ENTREPRENEURSHIP TOWARDS NATIONAL DEVELOPMENT

- i) Creates employment; Producers, warehousing, transport, insurance etc.
Which are basically levels of employment
- ii) Facilitates use of local resources through which
 - local and international transactions are established
 - production of more goods and services
- iii) Rural development which in effect.
 - ✓ Promotes change to the formal sector from informal sector
 - ✓ Equitable development
 - ✓ Reduced rural-urban migrations.
- iv) Development of technology through
 - ✓ establishment of research institutions
 - ✓ education systems
- v) Government revenue
 - ✓ through taxes
 - ✓ from domestic borrowing (TBs)
- vi) Facilitating community development through
 - ✓ Establishment of small businesses

- ✓ Participation in community dev. Projects
- vii) Providing a positive role model and facilitating.
 - ✓ Competition between domestic entrepreneurship and imported
 - ✓ Stimulating dev. Of entrepreneurship.
- viii) Reducing dependence on imported goods and services.
- ix) Stimulates competition through
 - ✓ Quality production methods are adopted
 - ✓ Quality products are produced
 - ✓ Variety goods and services are produced.
- x) Facilitated development of the financial sector through which;
 - ✓ Capital accumulation is possible through savings
 - ✓ Loaning is facilitated
 - ✓ Development of the capital market.

Others

- ✓ Improvement of standard of living
- ✓ Development of infrastructure by the government in where there are productive businesses
- ✓ Increased consumer choice because a variety of goods and services are provided
- ✓ Stability of prices
- ✓ Reduced domination of certain sectors by foreigners

SELF-EMPLOYMENT VERSES SALARIED (PAID) EMPLOYMENT

Self-employment is the state of working for one-self as a freelance or the owner of the business rather than for an employer.

Salaried employment is work that is paid a certain amount of money or compensation (also called salary) by the employer.

Salary is a fix amount of payment, typically paid on a monthly basis but often expressed as an annual sum made by an employer to an employee.

Profit- is a financial gain, especially between the amount earned and the amount spent in buying operating or producing something.

Loss- is the amount of money lost by a business or organization. It can also be defined as an excess of expenses over revenue, either from a single business, transaction or in reference to the sum of all transactions for an accounting period.

Characteristics of Employed (Paid Employment)

- i. Under control of another person (employer)
- ii. Supply your labor only
- iii. Cannot sub-contract the work
- iv. Mutuality of obligation to offer work and perform work
- v. Do not supply equipment/materials for the job
- vi. Receive fixed hourly/weekly/monthly wages
- vii. Entitled to sick pay/holiday pay etc.
- viii. Employer provides insurance cover
- ix. Work set number of hours per week
- x. Employer deducts tax from wages under PAYE

Characteristics of Self-employed

- i. Own your own business
- ii. Are exposed to financial risk
- iii. Can subcontract the work
- iv. No mutuality of obligation
- v. Supply necessary equipment for the job
- vi. Cost and agree a price for the job
- vii. Not entitled to paid leave
- viii. Provide your own insurance cover
- ix. Control your own hours in fulfilling job
- x. You are registered for Self-Assessment and are required to file your own returns

Advantages of Self-Employment

- i. Being self-employed means that you're your own boss. Being your own boss means that you'll be in control of all of the decisions affecting your working life. You'll decide on your business plan, your quality assurance procedures, you're pricing and marketing strategies-everything. You'll have job security; you can't be fired for doing things your way. As you perform a variety of tasks related to your work, you'll learn new skills and broaden your abilities.
- ii. If you're working for yourself, chances are you'll be doing work that you enjoy. You'll get to pick who you'll work for or with, and in most cases, you'll work with your customers or clients directly--no go-betweens muddying the waters. As a result, you may have days when it hardly feels as if you're working at all. Such harmony between your working life and the rest of your life is what attracted you to self-employment in the first place.

- iii. You'll even have the flexibility to decide your own hours of operation, working conditions, and business location. If you're working out of your home, your start-up costs may be reduced. You'll also experience lower operating costs; after all, you'll be paying for the rent and utilities anyway. If the location of your work isn't important (perhaps you're a freelance writer or a consultant), you can live wherever you want. At any rate, if you work at home, you'll greatly reduce your daily commuting time and expense.
- iv. If all goes well and you're making money, chances are you can make more than you did working for someone else. And since you're working for yourself, you may not have to share the proceeds with anyone else. The fruits of your labor will be all yours, because you own the vineyard.
- v. You get to decide when to spend money to help your business grow.
- vi. You can distribute income to family members by hiring them as employees.
- vi. Job satisfaction because one engages in a form of business that suits him or her.
- vii. Leads to improved living standards of the individual and those who depend on him or her.

Disadvantages of Self-Employment

- i. You must be willing to make sacrifices for the sake of the job.
- ii. You're going to work long hours, which means that you won't have as much time as you used to for family or leisure activities.
- iii. If the cash flow becomes a trickle, you're going to be the last one to get paid.
- iv. When you're self-employed, particularly if you're starting your own business, you may have to take on a substantial financial risk. If you need to raise additional money to get started, you may need a cosigner or collateral (such as your home) for a loan. Depending on how much or little work you can line up, you may find that your cash flow varies from a flood to a trickle. You'll need a cash backup so you can pay your bills while you're waiting for business to come in or waiting to be paid for completed work. Since you'll have to pay your own creditors first, this means that sometimes you may eat cereal instead of steak.
- v. Remember that you're not making any money if you're not working. You don't have any employer benefit package, which means that it's going to be hard for you to:
 - ✓ go on vacation
 - ✓ take a day off
 - ✓ Or even stay home sick without losing income.

It also means that you'll have to provide your own health insurance and retirement plan.

Remember, too, that you can choose your clients or customers, but you can't control their expectations or actions. If you don't come through for them, or if you do something that offends them, you might not get paid for your work.

- vi. Social employed people are accorded low social status
- vii. Leads to specialization which leads to boredom.
- viii. No assurance of income.
- ix. Limited skills in terms of business management.
- x.

Paid Employment

Advantages

- i. Job Security
- ii. Income stability
- iii. Predictable work life.
- iv. Enjoys certain allowances e.g. house, medical and commuter allowances.
- v. Provides room for socialization among employees
- vi. Room for growth through promotions
- vii. Some organizations provide training facilities to their employees through seminars and workshops.
- viii. Sponsorship opportunities to those who wish to further their studies

Disadvantages

- i. You are only paid for your efforts and unlike the entrepreneur; your brilliant ideas only receive commendation and little or no real monetary rewards.
- ii. You will simply be helping another man create wealth for himself while you make do with your wages which might be meager
- iii. Think of it as a case of not having your cake and eating it. iv. Paid employment is like Financial Bankruptcy. v. It cages your mind from soaring to the sky financially.
- iv. No opportunity to make money to supplement current earning
- v. The organization may not adequately recognize one's ability
- vi. One may not get an opportunity to involve in leisure
- vii. No independence-follows orders from the boss
- viii. One's idea may not be easily be implemented by the organization
- ix. One may not be accorded adequate and challenging responsibilities that add to their qualifications

TOPIC 2: EVOLUTION OF ENTREPRENEURSHIP

History of entrepreneurship in Kenya

Interest in the development of entrepreneurship and small enterprise in Kenya gained momentum as a possible remedy to the stagnation of economic development and the escalating unemployment problem between the early 1960 and 1970s

Although there were attempts by the government to develop entrepreneurship, the main impetus (stimulation factor) came from the international labor organization (ILO) report.

The report centered on the potential of the informal sector and suggested that the bulk of Kenya's urban workers were self-employed in small enterprises.

The report proposed that the development of this sector could;

- i) promote employment
- ii) facilitate development
- iii) Facilitate equitable distribution of resources.

Based on this report the government responded with a seasonal paper in 1973 – which recognized the role of entrepreneurship in employment creation not just in the formal sector but also in the informal sector.

Subsequent development plans have devoted time to the development of strategies and to promote small-scale enterprises and entrepreneurs which include.

- ✓ The industrial estate program
- ✓ Establishment of development agents' egg ICDC (Industrial and Commercial Development Corporation) and KIE (Kenya Industrial Estates).
- ✓ Policy and institutional framework to promote entrepreneurs.
- ✓ Promoting indigenous Kenyan enterprises.

How the government planned to promote entrepreneurship

The development plan laid down proposed to

- i) implement small scale industrial policy
- ii) Review the central and local government regulations that a hindrance to entrepreneurial development.
- iii) Provision of direct assistance to the small-scale businesses all over Kenya.
- iv) Establishment of an organization that would give extension services to the small-scale enterprises.
- v) Creating and strengthening institutions and schemes for the assistance of the small enterprise sector
- vi) Establishment of credit guarantee schemes for loans given by commercial banks
- vii) Establish procedures to improve small scale training through the ministry of technical training and Applied Technology.

- viii) Overhaul the education system i.e. introduction of the 8.4.4 system.
- ix) Establish a full-fledged small industrial division in the ministry of commerce and industry – which gave rise to the district focus for rural development.
- x) Introduction of entrepreneurship education is all levels of training.

Entrepreneurial Cultural Practices in Kenya

- i) The cultural practices of entrepreneurs vary from country depending on the
 - ✓ The material resources
 - ✓ The industrial climate
 - ✓ The social & political systems
- ii) The undeveloped regions especially Kenya due to the policing of funds lacks
 - ✓ Skilled labor
 - ✓ Existence of minimum social and economic overheads to curb emergencies of innovative entrepreneurs.
 - ✓ Entrepreneurship does not emerge out of industrial background with developed institutions to support and encourage it.
 - ✓ Kenya has imitator's entrepreneurs lacking enough innovators unlike other countries like South Africa.
- iii) However Kenya has established institutions that provide assistance to aspiring entrepreneurs in terms of
 - ✓ Establishing a fund to disburse loans to especially youths in the hope of promoting entrepreneurship
 - ✓ Some of the entrepreneurial activities that have emerged in our country include.

The Theories of Entrepreneurship

Entrepreneurial Behavior

Several theories have been developed to explain why entrepreneurs behave the way they do. There has been debate on whether entrepreneurs are born or made Born-hereditary, entrepreneurs are environmental influenced by where they are born. These are;

I. Economic

The theory explains entrepreneurial behavior as influenced by economic factors through which

- a) It is possible to introduce new methods
- b) It is possible to find new sources of materials
- c) It is possible to open new markets

The economic prospective is important since they create enabling environment for the entrepreneur to combine the factors of production.

II. Psychological factors

The theory states that entrepreneurs have unique values, attitudes and needs within which drive them. It is mostly concerned with personality traits as the main determinants of entrepreneurial behavior. People are likely to become entrepreneurs because of high liking of say

- a) Independence
- b) Attitude
- c) Need to satisfy certain needs.

III. Sociological factors

Maintains that environmental factors such as beliefs, culture, social structures determine entrepreneurial behavior.

III. Management factors

Emphasizes on the organization of resources in a specific way to attain profits

Leadership impacts on behavior and facilitates pioneer ship, achieving of goals and provides vision.

a) Richard Cantillon

An entrepreneur as a person with foresight and competence to operate in conditions on uncertainty. Richard was a particular about an entrepreneur being a person who performed in uncertain environments because the market demand is not perfectly predictable not necessarily that his products are untested an untried Cantillon contributed to the contention that an entrepreneur is somebody who has foresight and confidence to operate under conditions of uncertainty. He associated risks and uncertainties with administrative decisions of entrepreneurs. He identified the factor that profit to the entrepreneur arises out of decision making and risk taking.

b) John Baptise

Entrepreneurs coordinate and combine the factors of production John described the entrepreneur as a rare phenomenon who is able to coordinate and combine the factors of production. He places emphasis on the variety of markers and inputs which the entrepreneur

has to deal with “successfully” in effect, the entrepreneur is expected to “perceive and realize potential arbitrage” in addition to taking risks associated with uncertainty. According to say, the entrepreneur must surmount abundant obstacles, suppress anxieties, repair misfortunes and devise expedients. As a result, the entrepreneur accommodates the unexpected and overcome problems successfully in dealing both the input and consumer market. A possible conclusion forms this contention is that the entrepreneur is a locator of resources in the adjustment process during equilibrium, during equilibrium, towards equilibrium.

c) **Carl Menger, (1950) and the Austrian School** Carl Menger and what is known as the Austrian school in economics emphasizes the locative role in directing that entrepreneur’s role is that of risk taker in an uncertain environment. They added that the entrepreneur needs information and has to have the ability to analyze and use this information to make the correct decision in allocating resources. Other followers of the Austrian school of Thought went on to add that the alertness, superior perception and leadership of the entrepreneur cause factors of production to be allocated and continuously allocated.

d) **Joseph Schumpeter (Innovation)**

He in the early 20th century provided perhaps one of the most comprehensive analyses of entrepreneurship within the context of economic development. He introduced the notion that the entrepreneur is not just an allocator or director of resources, but combines inputs in untried combinations (innovator). Schumpeter asserted that the entrepreneur only remained an entrepreneur for as long as he is innovative, and loses that characteristics as soon as he falls into the routine management of the business.

Schumpeter described this process as discrete rather than constituting a gradualist change or evolution.

e) **MC Cleland (a function of High Achievement)**

According to MC Cleland, the characteristics of entrepreneur have two features- first doing things in a new better way and second making under uncertainty. He emphasizes achievement orientation as most important factor for entrepreneurs. □ Individuals with high achievements orientation are not influenced by considerations of money or any other external incentives. He argues that profit and incentives are merely yardsticks of measurement of success of entrepreneurs with high achievement orientation. The achievement orientation can be taught and increased by deliberate efforts. □ He finally observed that the individual with high achievement orientation take calculated risks and can make decisions where there is incomplete information or have tolerance for ambiguity Psychologists call this behavior a type –A- behavior.

Economic, Social and Political Factors Affecting Entrepreneurial Development

- a) High taxation levels. For business and personal incomes. Which in effect reduce profits earned making it an attractive to engage in business. Taxation of raw materials and other inputs raise production costs.
- b) Corruption and official harassment. Occurs where entrepreneurs are forced to bribe officials in various government departments to allow operation or start up. Raids under one pretext or another which tends to be very harassing.
- c) Unregulated competition from the outside world due. Liberalization which opened importation competing locally produced goods.
- d) Declining personal incomes of people due to Over-increasing cost of living, Arise in unemployment
- e) The high cost of finance. The cost of borrowing is high. Business collapses because they lack ability to repay loans
- f) Lack of necessary skills and knowledge due to lack of training opportunities and high education costs
- g) Poor transport and communication network
 - ✓ Making business difficult
 - ✓ Inconveniencing consumers
 - ✓ High energy costs
 - ✓ Lack of entrepreneurial culture

TOPIC 3: ENTREPRENEURIAL CULTURE

The Entrepreneurship Culture

Culture Definition □

Culture is defined as asset of values; perceptions wants and behavior learned by a member of a society from family and other institutions

Culture is a tool of leaned behavior patterns of living. It is a powerful human tool for survival constantly changing and easily lost.

Weber argues that “Protestantism encourages a culture which emphasizes individualism, achievement motivation, legislation of entrepreneurial vocations, rationality and self – reliance.

Hosted – defines culture as a collective programming of the mind which distinguishes the member of one group or category of people from another.

Entrepreneurial Culture

Refers to the way of embracing the concept of finding new opportunities in business and gathering the necessary resources to fill the opportunity.

Many governments around the world want to promote entrepreneurship because they have recognized the importance of entrepreneurship. □

In other words, entrepreneurial culture is a way of people embarrassing life by participating in activities that enable then create new business enterprises.

A country can develop the entrepreneurial culture by forming policies that constitute the following;

- ✓ Integration of entrepreneurship training in the overall education system to tap on youths.
- ✓ Exposure of entrepreneurship those look potential to actual business practices and activities through the networks and business contacts of rule models.
- ✓ Creation of a conducive and enabling that permits new business to immerge and flourish.
The creation of entrepreneurial culture has to come from deep social convictions based on strong values and systems of the locals’

It should be created in a way that it welcomes entrepreneurship and respects the investor and also reflecting the core values.

What Constitutes Entrepreneurial Culture?

- ✓ Growth in concentration of firm’s networks and linkages
- ✓ Growth in intermediary organizations to which some tasks are delegated and its different form of entrepreneurship
- ✓ High levels of education skills and learning

The cultural habits that promote entrepreneurial development

- a) **Money orientation.** Money oriented people know the value of money and has the intention of making it. The money-oriented people use the need of money as a motivating factor pushing them to being entrepreneurs.
- b) **Future orientation.** A society that has foresight to know about the future business environment is likely to have more entrepreneurs. This is because they are likely to visualize key changes that are likely to create opportunity.
- c) **Time consciousness.** Knowledge that time exists and its importance. Knowing the right time to start an entrepreneurial activity. Utilization of time. The correct timing of the market conditions
- d) **Trust and honesty.** Through trust consumer demand is gained on the products and services available. Entrepreneurs should reciprocate this by ensuring honesty by providing the expected standards.
- e) **Hard work** i.e. Willingness to work hard distinguishes between successful and unsuccessful persons.

The cultural factors inhibiting entrepreneurial development.

- a) **Religion** – religious beliefs may deter entrepreneurial investments in items such as night clubs and pubs.
- b) **Language** – establishing businesses in areas where language barrier may allow poor communication or fear of invasion.
- c) **Personal relationship** – Married people may avoid getting involved in business activities since no time is spared for the family.
- d) **Attitude towards innovation.** Especially in cultures which oppose innovation due to fear of change
- e) **Networks** – poor networking and ability to meet people limit new
 - i) Opportunities
 - ii) new knowledge
 - iii) new information.
- f) **Technology** – lack of technical skills and knowledge may slow growth and dev. Of entrepreneurial

Lock one out of being competitive.

Ways of managing Factors which Inhibits Development of Entrepreneurial Culture.

1. Working in related business to gather the necessary skills required before one starts his own business.
2. Setting policies that ensure that entrepreneurship training is established in the school syllabus.
3. Your people to be encouraged to read articles from newspaper, watch television and business contacts to enable them choose products in demand with a bright future.
4. Young youths as well as aspiring adults' entrepreneurs should be encouraged to get better and faster access to
 - a. Knowledge
 - b. Information or business
 - c. Competition
 - d. Internet etc.
4. Aspiring entrepreneurs to seek guidance in selection of machines and other facilities.

TOPIC 4: THE ENTREPRENEUR

Myths associated with entrepreneurship

Entrepreneurs don't have a personal life. Most people think that entrepreneurs work throughout and this means that you will not have time for your family, friends and leisure activities. Since entrepreneurs are their own bosses, they can schedule their own hours and sticks to that time because a good entrepreneur manages his time well.

Entrepreneurs take lots of risks. Entrepreneurs take some risks and they are not gamblers, they take calculated risks.

Entrepreneurs are only motivated by money. Financial gain is not the only motivation to small business owners but achieving a lifelong dream is the main motivation for entrepreneurs.

Entrepreneurs raise money from venture capitalist. This is not true because not all entrepreneurs raise money from venture capitalists but instead personal loans, friends and family are other sources that outweigh venture capitalist.

Entrepreneurs have great ideas. This makes some people not to attempt to start their own business because they do not have a unique idea. You don't need a new idea to be an entrepreneur because you can use an existing idea to start a business.

Anyone can be an entrepreneur. This is not true because not everyone has the personality or resources to do this either.

Entrepreneurs have formal training and education. One does not need to study business or entrepreneurship to have a successful startup company. Though education helps, it's not completely necessary.

Entrepreneurs are young. This is not true because entrepreneurship has no limited age.

Entrepreneurs don't quit until they succeed. It's not easy to start and run your own business. Therefore, entrepreneurs should accept failure as a potential reality.

Entrepreneurship is genetic. No one is born an entrepreneur

Types of entrepreneurs

a) Craft entrepreneurs

Exploits and utilizes personal skills to start a business without thinking of its growth or the expansion objectives

Often times than in this type of entrepreneurship

- i. There is no expanding even after a long time
- ii. It is not business expansion oriented.
- iii. The skills can be technical skills, professional skill etc.

b) Opportunistic entrepreneurs

This is a person who starts a business, acts as a manager and with a view to expand the business to maximum. He might not have the skill to profession but he has the opportunity to start and direct others. He sees beyond and has abilities to initiate and venture into business that will expand and grow. He is innovative I.e. somebody able to delegate activities to others, ready and able to see, scan the environment.

c) Co-operative Entrepreneur

A Co-operative Entrepreneur collaborates with other co-operative entrepreneurs to start and complete projects where each co-operative entrepreneur brings different skills and talents to the collaboration.

d) Creative Entrepreneur

A Creative Entrepreneur is a creative artist who values their product above all else and puts Intellectual Property (IP) first. Creative Entrepreneurs are dedicated to the artistic and creative expression that is unique to them.

e) Lifestyle Entrepreneur

A Lifestyle Entrepreneur values their lifestyle first and builds their businesses so that they have a rewarding and sustainable lifestyle founded on and driven by their personal interests and talents.

f) Social Entrepreneur

A Social Entrepreneur values social change first and is driven to improve and transform their society, their environment, and economic conditions.

A rapidly growing and vibrant sector, social entrepreneurs play an important role in providing products and services with the overall intention of creating social good, operating from a triple bottom line perspective of people, planet, and profit. Profit is often reinvested into the enterprise rather than being distributed to shareholders. "Social entrepreneurs are people who recognize social problems, decide to roll up their sleeves and get into action using entrepreneurial principles to organize, create, and manage a venture to implement social change that is sustainable, good for the planet and for the highest good of humanity."

g) Bottom-Line Entrepreneur

A Bottom-Line Entrepreneur takes the initiative and launches a new enterprise that takes advantage of market opportunities with the goals of building capital and profits.

h) Innovative Entrepreneurs:

An innovative entrepreneur is one, who introduces new goods, inaugurates new method of production, discovers new market and recognizes the enterprise. It is important to note that such entrepreneurs can work only when a certain level of development is already achieved and people look forward to change and improvement.

i) Imitative Entrepreneurs:

These types of entrepreneurs creatively imitate the innovative technical achievement made by another firm. Imitative entrepreneurs are suitable for underdeveloped countries as it is hard for them to bear the high cost of innovation.

j) Fabian Entrepreneurs

Fabian entrepreneurs are characterized by very great caution and skepticism to experiment any change in their enterprises. They usually do not take any new challenge. They imitate only when it becomes perfectly clear that failure to do not so would result in a loss of the relative position in the enterprise.

The Characteristic of a Potential Entrepreneur.

a) Initiative and risks taken by;

- ✓ Doing things before being asked or forced by events
- ✓ Acts to extend business in to new areas products etc.
- ✓ Sees and acts on opportunities
- ✓ Looks for and takes action on opportunities.
- ✓ Sees and acts on new business opportunities

b) Persistence and patience through

- ✓ Taking repeated action to overcome obstacles
- ✓ Taking action to overcome obstacles
- ✓ Taking action in the face of significant obstacles

c) Information and property seeking

- ✓ Takes action on his own to get information to help reach business objectives
- ✓ Does personal research on how to provide a product or service
- ✓ Consultation of experts on business and technical advice
- ✓ Asks questions to clarify information
- ✓ Undertakes market research analysis and investigation.

d) Concern for high quality work by

- ✓ Acting to do things that meet or beat existing standards
- ✓ A desire to produce and sell top- and better-quality products or services

- ✓ Compares own work favorable to other.
- e) Commitment to work contract by**
 - ✓ Placing the highest priority on getting the job completed.
 - ✓ Accepts full responsibility for problems that may arise in getting the job done
 - ✓ Expresses concern on customers satisfaction.
- f) Efficiency orientation by;**
 - ✓ Finding ways of doing things faster and cost effectively
 - ✓ Uses information to improve efficiently.
 - ✓ Express concern on costs improvements changes etc.
- g) Systematic planning;**
 - ✓ By developing and using logical plans to meet goals.
 - ✓ Breaking tasks down to sub-tasks.
 - ✓ Developing plans which anticipate obstacles.
 - ✓ Evaluates alternatives.
 - ✓ Takes logical and systematic approach to activities.
 - ✓ Identifies new and potential unique ideas to reach goals.
 - ✓ Switches to alternative strategies to reach goals.
- h) Self –confidence**
 - ✓ has a strong belief in self and own abilities
 - ✓ expresses confidence in own ability to complete task or meet challenges
 - ✓ sticks with own judgment in the face of opposition or early lack of success confronts problems and issues directly
 - ✓ Tells others what they have to do.
- i) Persuasion**
 - ✓ convinces people to buy the products or service
 - ✓ convinces people on providing funds
 - ✓ Asserts own competence reliability and the company product
- J) Uses strategic influence and networking**
 - ✓ To develop business contact
 - ✓ Uses influential people as agent to accomplish objectives

Role of an entrepreneur in an enterprise

- i) The bearing of uncertainty is the primary function of the entrepreneur i.e. losses or profits.
- ii) The management of the business enterprise can delegate

iii) Provision of risk capital and invention.

iv) Identifying gaps in the market and turning such gaps to business opportunities i.e. to initiate a business.

v) Financing the businesses, through raising and mobilizing the necessary resources to exploit opportunity.

vi) Searching for business opportunities through environmental scans.

vii) Mobilization of resources needed to start and run a business e.g. from

a) Personal savings

b) Friends & relatives

c) financial institutions etc.

viii) Evaluation of business opportunities to assess viability and any other benefits that might accrue to the business.

ix) Provide the necessary leadership for the business and those working in it.

TOPIC 5: ENTREPRENEURIAL OPPORTUNITIES

Business ideas

For an entrepreneur, the first step in starting a business begins with an idea (business idea). Business ideas are all about thoughts on possible businesses an entrepreneur can start or improve. It indicates among other things;

- a) The products to produce/sell
- b) Who the business will sell to (market)
- c) Where the business will be located
- d) How they will be run (management)
- e) Why the business is needed (objectives)

Means of Generating a Business Idea

- a) Identifying a need
- b) Brainstorming
- c) Building on one's skill, hobbies or interests
- d) Spotting a market niche
- e) Listening to what people say
- f) Attribute listening
- g) Gaining from waste
- h) Look to see and listen to hear
- I) Research
- j) Importing an idea
- k) Day dreaming

1. Identifying a Need

A need can be an opportunity and indeed a consumer buys to satisfy need. Abraham Maslow in his humanistic hierarchy of needs, physical needs to very high personalized needs.

Therefore, identifying an unidentified or unserved need is a sure way of generating business ideas.

The Maslow's Hierarchy of needs Self actualization

Safety and security needs

Self-esteem / ego

Social needs

Basic/ Physiological needs

Self-actualization

i) Basic or physiological needs

The first and the most basic need such as thirst hunger and sleep – in the process of satisfying these needs, entrepreneurs can generate a lot of business ideas- such as cloth stores, food stores, building materials etc.

ii) Safety and security needs

Human beings require these and entrepreneurs can generate ideas in the process of satisfying them e.g. security, watchmen etc.

iii) social needs

Generally speaking, to need should be accepted in the society e.g. membership clubs, beauty clinics etc.

iv) Self-esteem or ego the need only needs recognition e.g. need for luxury cars cellular phones etc.

v) Self – actualization

The need to prove the ability in one's self i.e. self-fulfillment – research institutions opportunity to do something in one's ability.

2. Brain Storming

This is a process of detaching analysis of an idea from the actual ideas.

The idea may or may not be related to a given product. In brainstorming even silly and stupid ideas may be generated.

3. Building on One's Skill, Hobbies or Interests

Business ideas can be generated through

- i. personal interests and hobbies

- ii. ii. Copying or improving somebody's ideas. (Skills)

4. Sporting a Market Niche

Entrepreneurs usually look for gaps in the growing markets, identifying market sections which are not being utilized.

5. Listening to what People say.

These are people who simply say or speak their needs e.g. if these good bus services

6. Attribute listening

This method of generating business ideas is based on changing the way one looks at something in order to find a new use for it.

It attempts to answer the question – what do we do with this product.

7. Gaining from Waste

What would appear waste can be used- say recycles to create a new opportunity.

Sources of Business Ideas

- i. Newspapers**-Local newspapers like the Daily Nation, East African etc. especially in the business and advertising sections have a lot of information about commercial opportunities as well as personal services.
- ii. Shows and exhibition**-Visiting shows and exhibitions organized by manufactures and distributors and asking questions from the sales **persons**. Entrepreneurs can also get business ideas from products displayed in such shows.
- iii. Magazines and journals**-Reading magazines and journals with business information may equip an entrepreneur with new business ideas.
- iv. Hobbies** –These are activities pursued for pleasure but they can also serve as a source of business ideas e.g. photography.
- v. Vocational training and experience**-A business idea may be developed from one's own area of training or experience e.g. a teacher may use ideas from his/her training to start a private school.
- vi. Surveys and market research**-This involves conducting an investigation to gather information from consumers on what products they require.
- vii. Recycling/using waste products**-Some waste products could be converted into useful products e.g. scrap metal for making biosolid tires for making sandals etc.
- viii. Listening to what people say**-By listening keenly to what people say, one can identify unsatisfied needs e.g. complaints about goods and services in the market. These complaints may form a basis of a business idea for an entrepreneur.
- ix. Identifying a market gap (niche)**-An entrepreneur may try to identify/spot the needs of consumers which are not being met by the existing goods and services.
 - x. **Brain storming**-An entrepreneur can engage other people in a discussion on how best to develop businesses.

xi. Listing attributes of a product-By listing the attributes of a product that is already existing in the market, one can find new use for the product.

xii. Copying/improving an existing business-This involves identifying the weaknesses of a business and trying to come up with solutions.

Characteristics of a Good Business idea.

- i) Easy to manage and involve minimal risk.
- ii) Does not require excessive capital investments
- iii) Offers a good return on capital
- iv) The idea has scope for growth, expansion and diversification
- v) Comparative with owner's goal and interest
- vi) Not against expectation of the society
- vii) Has a short gestation period
- viii) Has a readily available market
- ix) Easy to exit when necessary.

Identification and evaluation of business opportunities

Business Opportunity

A good business plan is not necessarily a business opportunity. A business idea becomes a business opportunity if it is viable i.e. it can be developed into a successful/profitable business enterprise

A business opportunity is a favorable chance that an entrepreneur accepts for investment. It exists where there is a gap to be filled in the needs of the market. Examples of such gaps include:

- a) In availability of products**-This is where goods and services needed by the consumers are not available at all in the market.
- b) Poor quality products**-A business opportunity exists if one offers better quality goods and services than those of the existing businesses.
- c) Insufficient quantities**-This is where the goods supplied are not enough to meet the demand/need of the consumers.
- d) Unaffordable prices**-A business opportunity exists where one would charge affordable prices.
- e) Poor services**-A business opportunity exists where customers are not served well.

Evaluating a business opportunity

This means assessing whether the identified opportunity is viable or not. This helps in arriving at the best decision concerning the business idea to implement

Evaluation should be done carefully, systematically and without emotions. Evaluation is necessary even where there is only one business idea. This will help in avoiding starting a business that cannot succeed.

Factors to consider when evaluating a business opportunity

The following are the factors to consider when evaluating a business opportunity.

- a. **Personal consideration**-These are the abilities and expectations of an entrepreneur. They include the following;
 - **Objectives**-The entrepreneur should evaluate the business idea to find out whether it is in line with his/her objectives.
 - **Skills**-Where a business requires certain specialized skills and those skills are lacking the idea may be dropped.
 - **Commitments**-Where the business is likely to interfere with the entrepreneurs' other commitments it may fail.
 - **Interest**-It is necessary to check whether the intended business will interest the entrepreneur or not. If the entrepreneur will not enjoy running the business, the idea should be dropped.
- b. **Business consideration**-These are external factors that are likely to affect the operations of the business and they include;
 - i. **Availability of market for the product**-An entrepreneur should assess the availability of customers before starting a business. Customers exist where there is a gap/inch in the market.
 - ii. **Technology**-The business should be evaluated in terms of whether there is an appropriate technology that can be used in production. Factors to be looked into include;
 - a. -Appropriateness of the technology
 - b. -The cost of the technology
 - c. -The possibility of the business suffering in case the technology becomes outdated/obsolete.
 - iii. **Availability of raw materials and other resources**-The raw materials and resources required should be within the reach and affordable to the entrepreneur.
 - iv. **Government policy**-An entrepreneur should consider the requirements of the government before starting a business e.g. the government may require certain businesses to be located in certain areas only.
 - v. **Amount of capital required**-The capital required to run and maintain the business should be considered i.e. the source of capital.
 - vi. **Profitability of the business**-Within a certain duration of time.
 - vii. **The break-even period**-How long the business can take to support itself.
 - viii. **Possibility of expansion i.e.** the potential for growth of the business.
 - ix. **Impact of the business operations on the environments**; some businesses lead to environmental degradation and should be located in appropriate places/effect on community and environmental health.
 - x. **Security-Availability** of security should be considered.
 - xi. **Level of competition**-This will help determine whether the business will survive or not.

- xii. The risks that the business will face.

CHARACTERISTICS OF A GOOD BUSINESS OPPORTUNITY

Less costly; a good business opportunity should be less expensive may it be an original idea or a franchise.

Reduced risks of failure; a good business opportunity should have well executed research into the risks involved, personal strengths and any weaknesses the entrepreneur may deal with.

Ready market; the market needs to be prepared for the product yet to be established

High level of competence; a lot of time may be required to gather the necessary knowledge to prosper in any given business opportunity.

Better financing options; a business opportunity may require stable cash flows and thus need to identify secure source of finance form investors.

Professional advertising and promotion of the products to ensure there is competitive advantage.

Others

- ✓ Returns on investment – i.e. the business should be sufficiently profitable.
- ✓ Availability of raw materials
- ✓ Enough skilled people

TOPIC 6. STARTING A SMALL BUSINESS

Forms of business ownership

1. SOLE PROPRIETORSHIP

This is a business enterprise owned by one person who is called **a sole trader or a sole proprietor**. It is the most common form of business unit and usually found in retail trade e.g. in small shops, kiosks, agriculture etc. and for direct services e.g. cobblers saloons etc.

Characteristics/Features

- The business is owned by one person
- The capital is contributed by the owner and is usually small. The main source is from his savings and other sources can be from friends, bank or getting an inheritance
- The owner enjoys all the profits alone and also suffers the losses alone
- The owner is personally responsible for the management of the business and sometimes he is assisted by members of his family or a few employees. He remains responsible for the success or failure of his/her business.
- The sole proprietor has unlimited liability meaning that in case of failure to meet debts, his creditor can claim his personal property
- There are very few legal requirements to start the business unit.
- Sole proprietorship is flexible; it is very easy to change the location or the nature of business.

Formation

The formation of a sole proprietorship is very simple. Few legal formalities are required i.e. to start a sole proprietorship, one need only to raise the capital required and then apply for a trading license to operate the business small fee is paid and the trade license issued.

Sources of capital

The amount of capital required to start a sole proprietorship is small compared to other forms of business organizations. The main source of capital is the **Owners savings**. Additional capital may however be raised from the following;

- Borrowing from friends, banks and other money lending institutions such as industries and commercial Development corporation (ICDC) and Kenya industrial estates
- Inheritance
- Personal savings
- Getting goods on credit
- Getting goods on hire purchase
- Leasing or renting out one's properties
- Donations from friends and relatives
- Ploughing back profit.

Management

The management of this kind of a business is under one person. The owner may however employ other people or get assistance from family members to run the business.

Some sole proprietorship may be big business organizations with several departments and quite a number of employees. However, the sole proprietor remains solely responsible for the success or failure of the business

Advantages of sole proprietorship

1. The capital required to start the business is small hence anybody who can spare small amounts of money can start one.
2. Few formal/legal procedures are required to set up this business
3. Decision making and implementation is fast because the proprietor does not have to consult anybody
4. The trader has close and personal contact with customers. This helps them in knowing exactly what the customers need and hence satisfying those needs
5. A sole proprietor is able to assess the credit-worthiness of his or her customers because of close personal relationship. Extending credit to a few carefully selected customers reduce the probability of bad debts.
6. The trader is accountable to him/herself
7. A sole trader is able to keep the top secrets of the business operations
8. He/she enjoys all the profit
9. A sole proprietorship is flexible. One can change the nature or even the location of business as need arises.

Disadvantages of sole proprietorship

1. Has unlimited liability. This means that if the assets available in the business are not enough to pay all the business debts the personal property of the owner such as house will be sold to meet the debts
2. There is insufficient capital for expansion because of scarce resources and lack of access to other sources
3. He/she is overworked and has no time for recreation.
4. There is lack of continuity in the sole proprietorship i.e. the business is affected by sickness or death of the owner.
5. A sole proprietorship may not benefit from advantages realized by large scale enterprises (economies of large scale) such as access to loan facilities and large trade discounts.
6. Lack of specialization in the running of the business may lead to poor performance. This is because one person cannot manage all aspects of the business effectively. One maybe a good salesman for examples but a poor accountant.
7. Due to the size of the business, sole proprietorships do not attract and retain highly qualified and trained personnel.

Dissolution of sole proprietorships

Dissolution refers to the termination of the legal life of a business. The following circumstances may lead to the dissolution of a sole proprietorship:

- Death or insanity of the owner
- Transfer of the business to another person- this transfers the rights and obligations of the business to the new owner.
- Bankruptcy of the owner- this means that the owner lacks the financial capability to run the business.
- The owner voluntarily decides to dissolve the business e.g. due to continued loss making.
- Passing of a law which renders the activities of the business illegal.

- The expiry of the period during which the business was meant to operate.
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1. **PARTNERSHIP:**

This is a relationship between persons who engage in a business with an aim of making profits/ an association of two or more persons who run a business as **co-owners**. The owners are called **Partners**.

It is owned by a minimum of 2 and a maximum of 20 except for partnership who provide professional services e.g. medicine and law which have a maximum of 50 persons.

Characteristics of partnership

- Capital is contributed by the partners themselves
- Partnership has limited life that is it may end anytime because of the death, bankruptcy or withdrawal of partners.
- Each partner acts as an agent of the firm with authority to enter into contracts.
- Partners are co-owners of a business, having an interest or claim in the business.
- Responsibility, profit and losses are shared on an agreed basis.
- All partners have equal right to participate in the management of the business. This right arises from the interest or claim of the partner as a co-owner of the business.

Types of partnership

Partnerships can be classified/ categorized in either of the following ways:

- (a) According to the type/liability of partners
- (b) According to the period of operation
- (c) According to their activities

(a) According to the type or liability of partners

Under this classification, partnerships can either be:

- i) **General/ordinary partnership**- Here all members have unlimited liability which means in case a partnership is unable to pay its debts, the personal properties of the partner will be sold off to pay the debts.
- ii) **Limited partnerships**- In limited partnership members have limited liabilities where liability or responsibility is restricted to the capital contributed.

This means that in case the partnership cannot pay its debts; the partners only lose the amount of capital each has contributed to the business and not their personal property. However, there must be one partner whose liabilities are unlimited.

(b) According to the period/duration of operation

When partnerships are classified according to duration of operation, they can either be;

- i) **Temporary partnership**-These are partnerships that are formed to carry out a specific task for a specific time after which the business automatically dissolves.
- ii) **Permanent partnerships**- These are partnerships formed to operate indefinitely. They are also called a partnership at will.

- c) **According to their Activity**- Under this mode of classification, partnerships can either be:

i) Trading partnerships

This is a partnership whose main activity is processing, manufacturing, construction or purchase and sale of goods.

ii) **Non – trading partnerships**

This is a partnership whose main activity is to offer services such as legal, medical or accounting services to members of the public.

Types of partners

Partners may be classified according to;

i) **Role played by the partners**

- a) **Active partner:** He is also known as acting partner as he plays an active part in the day-to-day running of the business.
- b) **Sleeping/dormant partner:** He does not participate in the management of the partnership business. Although he invests his capital in the partnership, his profit is lower as he is not active. He is also referred to as passive or silent partner.

ii) **Liabilities of the partners for the business debts:**

- a) **General partner:** He/she has unlimited liabilities.
- b) **Limited partner:** He/she has limited liabilities

iii) **Ages of partners**

- a) **Major partner:** This is a partner who is 18 years and above. He is responsible for all debts of the business.
- b) **Minor partner:** This is a partner who has not attained the age of 18 years but has been admitted with the consent of other partners. Once he reaches 18 years, he then decides if he wants to be a partner or not. Before he attains the age of 18, he takes part in the sharing of profits but does not take part in the management of the business.

iv) **Capital contribution**

- a) **Nominal/Quasi partner:** He does not contribute capital but allows the business to use his/her name as a partner; for the purpose of influencing customers or for prestige.

-He/she can also be a person who was once a partner and has retired in form of a loan. This loan carries interest at an agreed rate.

-The quasi partner shares the profit of the business as a reward for using his/her name.

- b) **Real partner:** He/she is one who contributes capital to the business.

-Other types of partners include secret partners, retiring partners and incoming partners

i) A secret partner: is one who actively participates in the management of the firm but is not disclosed to the public. In most cases secret partners are also limited partners.

ii) A retiring partner: Also known as outgoing partner is one who is leaving a partnership

-He may retire with the consent of all the other partners or according to a previous agreement.

iii) Incoming partner: Is one who is admitted to an existing partnership.

Formation

-People who want to form a partnership must come together and agree on how the proposed business will be run to avoid future misunderstanding.

-The agreement can either be oral (by use of mouth) or written down. A written agreement is called a **partnership deed**.

-The contents of the partnership deed vary from one partnership to another depending on the nature of the business, but generally it contains:

- a) Name, location and address of the business
- b) Name, address and occupation of the partners
- c) The purpose of the business

- d) Capital to be contributed by cash partner
- e) Rate of interest on capital
- f) Drawings by partners and rate of interest on drawings
- g) Salaries and commissions to partners
- h) Rate of interests on loans from partners to the business
- i) Procedures of dissolving the partnership
- j) Profit and loss sharing ratio
- k) How to admit a new partner
- l) What to do when a partner retires dies or is expelled
- m) The rights to inspect books of accounts
- n) Who has the authority to act on behalf of other partners.

Once the partnership deed is ready, the business may be registered with the registrar of firms on payment of a registration fee.

In case a partnership deed is not drawn, the provisions of partnership act of 1963 (Kenya) apply.

The act contains the following rights and duties of a partner:

- i) All partners are entitled to equal contribution of capital
- ii) No salary is to be allowed to any partner
- iii) No interest is to be allowed on capital
- iv) No interest is to be charged on drawings
- v) All profits and losses are to be shared equally
- vi) Every partner has the right to inspect the books of accounts
- vii) Every partner has the right to take part in decision making
- viii) Interest is to be paid on any loans borrowed by partners (The % rate varies from one country to another)
- ix) During dissolution the debts from outside people are paid first then loans from partners and lastly partners' capital.
- x) No partner should carry out a competing business
- xi) Any change in business such as admission of new partners must be through the agreement of all existing partners.
- xii) Compensation must be given to a partner who incurs any loss when executing the duties of the business.

Sources of capital

- i) Partners contribution
- ii) Loans from banks and other financial institutions
- iii) Getting items on hire purchase
- iv) Trade credit
- v) Ploughing back profit
- vi) Leasing and renting.

Advantages of partnership

- i) Unlike sole proprietorship, partnership can raise more capital.
- ii) Work is distributed among the partners. This reduces the workload for each partner
- iii) Varied professional/skilled labour; various partners are professionals in various different areas leading to specialization
- iv) They can undertake any form of business agreed upon by all the partners
- v) There are few legal requirements in the formation of a partnership compared to a limited liability company.
- vi) Losses and liabilities are shared among partners
- vii) Continuity of business is not affected by death or absence of a partner as would be in the case of a sole proprietorship
- viii) Members of partnership enjoy more free days and are flexible than owners of a company
- ix) A Partnership just like sole proprietorship is exempted from payment of certain taxes paid by large business organizations.

Disadvantages of partnership

- i) A mistake made by one of the partners may result in losses which are shared by all the partners
- ii) Continued disagreement among the partners can lead to termination of the partnership
- iii) Decision-making is slow since all the partners must agree
- iv) A partnership that relies heavily on one partner may be adversely affected on retirement or death of the partner
- v) A hard-working partner may not be rewarded in proportion to his/her effort because the profits are shared among all the partners
- vi) There is sharing of profits by the partners hence less is received by each partner
- vii) Few sources of capital, due to uncertainty in the continuity of the business few financial institutions will be willing to give long-term loans to the firm.

Dissolution of partnership

A partnership may be dissolved under any of the following circumstances:

- i) A mutual agreement by all the partners to dissolve the business
- ii) Death insanity or bankrupting of a partner
- iii) A temporary partnership on completion of the intended purpose or at the end of the agreed time.
- iv) A court order to dissolve the partnership
- v) Written request for dissolution by a partner
- vi) If the business engages in unlawful practices
- vii) Retirement or admission of a new partner may lead to a permanent or temporary dissolution
- viii) Continued disagreements among the partners

3. CO-OPERATIVES

-A co-operative society is a form of business organization that is owned by and run for the economic welfare of its members

-It is a body of persons who have joined together to do collectively what they were previously doing individually for mutual benefit.

Example

In Kenya the co-operative movement was started by white settlers in 1908 to market their agricultural produce. In this case, they knew that they could sell their produce better if they were as a group and not alone

Principles of co-operatives

i) Open and voluntary membership

Membership is open and voluntary to any person who has attained the age of 18 years. No one should be denied membership due to social, political, tribal or religious differences. A member is also free to leave the society at will

ii) Democratic Administration

The principle is one man one vote. Each member of the co-operative has only one vote irrespective of the number of shares held by him or how much he buys or sells to the society

iii) Dividend or repayment

-Any profit/surplus made at the end of every financial year should be distributed to the members in relations to their contribution.

-Part of the profit may be retained/reserved/put in to strengthen the financial position of the society.

iv) Limited interest on share capital

-A little or no interest is paid on share capital contributed (co-operatives do not encourage financial investment habits but to enhance production, to encourage savings and serve the members)

v) Promotion of Education

Co-operative societies should endeavor to educate their members and staff on the ideas of the society in order to enhance/improve quality of decisions made by the concerned parties.

Education is conducted through seminars, study tours, open days

vi) Co-operation with other co-operatives

Co-operatives must learn from each other's experience since they have a lot in common.

-Their co-operation should be extended too local national and international.

Features of co-operatives

- Membership is open to all persons so long as they have a common interest. Members are also free to discontinue their membership when they desire so
- Co-operative societies have a perpetual existence; death, bankruptcy or retirement of a member does not affect its operations
- They are managed in a democratic manner. Every member has one vote when electing the managerial committee irrespective of the number of shares held.
- The main aim is to serve the interest of the members where profit is not the overriding factor.
- Co-operative societies have limited liabilities
- There must be a minimum of 10 people with no maximum membership.
- Co-operatives have a separate legal entity from the members who formed it i.e. they can own property sue and be sued
- Any profit made by the society is distributed to the members on the basis of the services rendered by each member but not according to the capital contributed.

Formation

-Co-operative societies can be formed by people who are over eighteen years regardless of their economic, political or social background.

- There must be a minimum of 10 persons and no maximum no.
- The members draft rules and regulations to govern the operations of the proposed society i.e. by-laws, which are then submitted to the commissioner of co-operatives for approval
- The registrar then approves the by-laws and issues a certificate of registration
- If the members are unable to draw up their own by-laws, the co-operative societies Act of 1966 can be adopted in part or whole

Management

- A co-operatives society is composed/run by a committee usually of nine members elected by the members in a general meeting
- The management committee elects the chairman, secretary and treasurer as the executive committee members, who act on behalf of all the members and can enter into contracts borrow money institute and depend suits and other legal proceedings for the society
- The committee members can be voted out in an A.G.M if they don't perform as expected.

TYPES OF CO-OPERATIVES SOCIETIES IN KENYA

May be grouped according to;

- i) Nature of their activities**
 - a) Producer co-operatives
 - b) Consumer co-operatives
 - c) Savings and credit co-operatives
- ii) Level of operations**
 - a) Primary co-operatives
 - b) Secondary co-operatives
- a) Producer co-operatives**

This is an association of producers who have come together to improve the production and marketing of their products.

Functions

- Obtaining better prices for their members products
- Providing better storage facilities for their products
- Providing better and reliable transport means for moving the products from the sources to the market and building feeder roads
- Providing loans to members
- Providing services of grading, packing and processing to the members
- Providing farm inputs e.g. fertilizers, seeds, insecticides etc. on credit to members
- Educating and advising members on better methods of farming through seminars, field trips, films and demonstration

-In this type of co-operative members are paid according to the quantity of the produce a member has delivered to the society.

Examples,

KCC-Kenya Co-operative Creameries

K.P.C.U-Kenya Planters Co-operatives Union

K.G.G.C.U-Kenya Grain Growers Co-operative Union

b) Consumer Co-operatives

- These are formed by a group of consumers to buy goods on wholesome and sell them to the members at existing market prices.
 - Their aim is to eliminate the wholesalers and retailers and hence obtain goods more cheaply
 - The co-operatives allow their members to buy goods on credit or in cash
 - Members of the public are also allowed to buy from the society at normal prices thereby enabling the society to make more profits
 - The profits realized is shared among the members in proportion to their purchases Inetha more a member buys, the buyer his/her share of profit
- Examples; -Nairobi consumer co-operative union, Bee-hive consumer co-operative society and City-chicken consumer co-operative society

Advantages

- Sell goods of high quality
- Sell goods to members at fair prices
- Sell goods to other people at normal prices thereby making more profit
- Buy goods directly from the producers thereby eliminating middlemen. They are therefore able to make more profit
- Can give credit facilities to the members
- Can pay interest on capital to the members
- Sell a variety of goods to the members at a place where they can easily get them

Disadvantages

Consumer co-operatives are not popular in Kenya because of the following

- i. They face stiff competition from large scale retailers such as supermarkets and multiple shops who buy goods directly from the producers and sell-them to consumers at low prices
- ii. Cannot offer to employ qualified staff
- iii. Majority of their members have low income, so raising off capital is a problem
- iv. Kenya, being an agricultural country, produces enough subsistence goods for itself. It therefore does not require consumer co-operatives
- v. Reluctance of non-members to buy from the shops lowers the turn-over
- vi. Mismanagement of the shops is rampant

Savings and credit co-operatives societies (SACCO'S)

- They are usually formed by employed persons who save part of their monthly salary with their co-operative society, through check-off system
- Their money earns goods interest and when one has a significant amount saved, he/she become entitled to borrow money from the society for any personal project e.g. improving their farms, constructing houses, paying school fees etc.
- The SACCOS charge lower interest on loans given to members than ordinary banks and other financial institutions.
- The societies have few formalities or requirements to be completed before giving a loan. These are:
 - i. Membership
 - ii. Members salary
 - iii. Members saving
 - iv. Guarantee from fellow members

- Profits earned by the SACCO'S may be shared among the members in form of dividends.
- Most SACCO'S have insured their members savings and loans with co-operative insurance services (CIS). This means if a member dies his/her beneficiaries are not called upon to repay the loan and the members savings/shares is given to the beneficiaries.
- They are the main institutions that provide loans to most people who do not qualify for loans from commercial banks because they do not ask for securities such as title deeds required by the bank.

d) Primary co-operative societies

- These are co-operative societies composed of individuals who are either actual producers, consumers or people who join up together to save and obtain credit most conveniently
- Consumer co-operative societies and most SACCO'S are primary co-operative societies because they are composed of individuals.
- Most primary co-operative societies operate at the village level, others at district levels and a few at national levels.

e) Secondary co-operative societies

- They are usually referred to as unions
- They are generally composed of primary co-operative societies as their members
- They are either found at district levels or at national levels.

Advantages of co-operative societies:

- Since the properties of co-operatives are owned collectively, they are able to serve the interest of the members affectively
- They have limited liability
- Membership is free and voluntary
- Members share profits of a co-operative through dividend that are given
- They have improved the standards of living of their members through increased income from their produce and through savings from incomes.
- Co-operatives benefit their members through giving them credit facilities and financial loans which they could not have got from local banks
- They are run on a democratic basis i.e. all members have an equal chance of being elected to the management committee.
- Many co-operatives are large scale organizations hence able to get the benefits of large-scale organizations e.g. low production costs leading to low prices of products
- Co-operative enjoy a lot of support from the government and when they are in financial and managerial problems, the government steps in to assist them

Disadvantages

- Majority of the co-operatives are small in size and therefore cannot benefit from economies of scale.
- Members have a right to withdraw from the society and when they do, co-operatives refund the capital back which might create financial problems to the society.
- Corruption and embezzlement of funds is a problem for many co-operatives.
- Most co-operatives are not able to attract qualified managerial staff hence leading to mismanagement.
- Many suffer from political interference. Sometimes; the election of the management committee is interceded with by some people with personal interest in certain candidates

- hence the best person may not be elected to run the affairs of the society. This leads to poor management and inefficiency.
- Members may not take keen interest in the affairs of a co-operative society because their capital contribution is small.

Dissolution of co-operative societies

-A co-operative society may be dissolved under any of the following circumstances.

- i. Order from commissioner of co-operatives
- ii. Voluntary dissolution by members
- iii. Withdrawal of members from the society leaving less than ten members
- iv. If the society is declared bankrupt

4. LIMITED LIABILITY COMPANIES (JOINT STOCK COMPANIES)

Definition: A company; Is an association of persons registered under the companies act who contribute capital in order to carry out business with a view of making a profit.

The act of registering a company is referred to as **incorporation**. **Incorporation** creates an organization that is separate and distinct from the person forming it.

-A company is a legal entity that has the status of an “**artificial person**”. It therefore has most of the rights and obligations of a human being. A company can therefore do the following;

- Own property
- Enter into contracts in its own name.
- Borrow money.
- Hire and fire employees.
- Sue and be sued on its own right.
- Form subordinate agencies, i.e., agencies under its authority.
- Disseminate or spread information.

-The owners (members) of a company are referred to as shareholders

FEATURES OF COMPANIES (LIMITED LIABILITY COMPANIES)

-A company is an artificial person and has the same rights as a natural person. It can therefore sue and be sued in a court of law, own property and enter into contracts in its own name.

-The members have limited liabilities.

-Companies have perpetual life which is independent of the lives of its owners. Death, insanity or bankruptcy of a member does not affect the existence of the company. (this is referred to as **perpetual existence or perpetual succession**)

- A company is created for a particular purpose or purposes.

Formation

-People who wish to form company are referred to as **promoters**

-The promoters submit the following documents to the registrar of companies:

1) Memorandum of Association

-This is a document that defines the relationship between the company and the outsiders. It contains the following:

a) Name of the company/Name clause; -The name of the company must be started and should end with the word “Limited” (Ltd). This indicates that the liability of the company is limited.

-Some companies end their names with “PLC” which stands for “**Public limited company**” which makes the public aware that although it is a limited liability company it is a public not private.

b) The objects of the company/objective clause; -This set out the activities that the company should engage in

-The activities listed in this clause serve as a warning to outsiders that the company is authorized in these activities only.

c) Situation clause; -Every company must have a registered office where official notices and other communication can be received and sent

d) Capital clause; -It also states that the amount of capital which the business can raise and the divisions of this capital into units of equal value called shares i.e. authorized share capital also called registered or nominal share capital.

-It also specifies the types of shares and the value of each share

e) Declaration clause: -This is a declaration signed by the promoters stating that they wish to form the company and undertake to buy shares in the proposed firm

-The declaration is signed by a minimum of seven promoters for public limited company and a minimum of two for private company.

-The memorandum of association also contains the names of the promoters

-The promoters signs against the memorandum showing details of their names, addresses, occupation and shares they intend to buy. Each signatory should agree to take at least one share.

i) Articles of Association

-This is a document that governs the internal operations of the company

-It also contains rules and regulations affecting the shareholders in relation to the company and in relation to the shareholders themselves.

-It contains the following;

- Rights of each type of shareholder e.g. voting rights
- Methods of calling meeting and procedures
- Rules governing election of officials such as chairman of the company, directors and auditors
- Rules regarding preparation and auditing of accounts
- Powers, duties and rights of directors
- Methods dealing with any alterations on the capital.

ii) A list of directors with details of their names, addresses, occupations, shares subscribed and statements of agreement to serve as directors

iii) Declaration that registration requirements as laid down by law (by the companies act) have been met. The declaration must be signed by the secretary or a director or a lawyer.

iv) A statement signed by the directors stating that they have agreed to act as directors.

v) A statement of share capital- this statement gives the amount of capital that the company wishes to raise and its subdivision into shares.

-Once the above documents are ready, they are submitted by the promoters to the registrar of companies. On approval by the Registrar and on payment of a registration fee, a certificate of incorporation (certificate of registration) is issued

-The certificate of incorporation gives the company a separate legal entity.

Sources of capital

1. Shares; The main source of capital for any company is the sale of shares.

- A share is a unit of capital in a company e.g. if a company states that its capital is ksh.100,000 divided into equal shares of ksh.10 each.
- Each shareholder is entitled to the company's profit proportionate to the number of shares he/she holds in the company.

Types of shares:

- a) Ordinary shares
- b) Preference shares

a) Ordinary shares; -Ordinary shares have the following rights:

- Have voting rights
- Have no fixed rate of dividends. The dividends on them vary according to the amounts of profit made
- They have a claim to dividends after the preference shares
- If the company is being liquidated, they are paid last after the preference shares

b) Preference shares; -They have the following characteristics;

- Have a fixed rate of sharing profits(dividends)
- Have a prior claim to dividends over the ordinary shares
- Have no voting rights
- Can be redeemable or irredeemable. Redeemable shares are the ones that can be bought back by the company at a future date while irredeemable ones are ones that cannot be bought back
- Can be cumulative or non-cumulative. Cumulative shares are the ones that are entitled to dividends whether the company makes profit or not. This means if the company makes a loss or a profit which is not enough for dividends in a certain year, the dividends to cumulative shares are carried forward to the next year(s) when enough profit are made

-Non- cumulative shares are the ones whose dividends are not carried forward to the following year(s)

2. Debentures

This refers to loans from the public to a company or an acknowledgement of a debt by a company

They carry fixed rate of interest which is payable whether profit is made or not.

They are issued to the public in the same way as shares.

They can be redeemable or irredeemable.

Redeemable debentures are usually secured against the company's assets in which case they termed as *secured debentures or mortgaged debentures*.

NB: Where no security is given, the debentures are called unsecured /naked debentures.

3. Loans from bank and other financial institutions; -A company can borrow long term or short-term loans from banks and other money lending institutions such as Industrial and Commercial Development Corporation [I.C.D.C]

These loans are repayable with interest of the agreed rates.

4. Profits ploughed back; -A company may decide to set aside part of the profit made to be used for specified or general purposes instead of sharing out all the profit as dividends. This money is referred to as a reserve.

5. Bank overdraft; -A customer to a bank may make arrangements with the bank to be allowed to withdraw more money than he/she has in the account.

6. Leasing and renting of property.

7. Goods brought on credit.
8. Acquiring property through hire purchase

TYPES OF COMPANIES

I. PRIVATE LIMITED COMPANY

Private limited company has the following characteristics;

- Can be formed by a minimum of 2 and a maximum of 50 shareholders, excluding the employees,
- Does not advertise its shares to the public, but sells them privately to specific people
- Restricts transfer of shares i.e. a shareholder cannot sell his/her shares freely without the consent of other shareholders.
- Can be managed by one or two directors. A big private company may however, require a board of directors
- Can start business immediately after receiving the certificate of incorporation without necessarily having to wait for a certificate of trading.
- It does not have an authorized minimum share capital figure.
- Has a separate legal entity and can own property, enter into contracts, sue or be sued.
- Has limited liability.
- Has a perpetual existence.

Formation

-It must have a memorandum of association, article of association list of directors, declaration signed by a director or lawyer and certificate of incorporation.

Advantages of private limited company

- i) **Formation:** The Company can be formed more easily than a public company. The cost of information is less than that of a public company
- ii) **Legal personality:** A private company is a separate legal entity from its owners. Like a person, it can own property, sue or be Sued and enter into contacts
- iii) **Limited liability:** Shareholders have limited liability meaning that they are not responsible for the company's debts beyond the amount due on the shares
- iv) **Capital:** They have access to a large pool of capital than sole proprietorship or a partnership. They can borrow money more easily from financial institutions because it owns assets which can be pledge as security
- v) **Management:** A private company has a larger pool of professional managers than a sole proprietorship or a partnership. These managers bring in professional skills in their own areas which are of great advantage to a private company
- vi) **Assured continuity of the business:** Death, bankruptcy or withdrawal of a shareholder does not affect the continuity of the company
- vii) **Trading:** Unlike a public company a private company can commence trading immediately upon receiving a registration certificate.

Disadvantages of a private company

- i) **Returns:** A private company, unlike sole proprietorship or a partnership, must submit annual returns on prescribed forms to the registrar of companies immediately after the annual general meeting

- ii) **Capital:** A private company cannot invite the public to subscribe to its shares like a public limited company. It therefore limited access to a wide source of capital.
- iii) **Share transfer:** The law restricts the transfer of shares to its members/shareholders are not free to transfer their shares

II) PUBLIC LIMITED COMPANY; - Public limited companies have the following characteristics:

- a) Can be formed by a minimum of 7 (seven) shareholders and no set maximum.
- b) Cannot start business before it is issued with a certificate of trading. This is issued after the certificate of incorporation and after the company has raised a minimum amount of capital
- c) It's managed by a board of directors
- d) The shares and debentures are freely transferable from one person to another.
- e) It advertises its shares to the public/ invites the public to subscribe for/buy its shares and debentures.
- f) Must publish their end of year accounts and balance sheets
- g) Must have an authorized minimum share capital figure
- h) Has a separate legal entity and can own property, enter into contracts, sue or be sued.
- i) Has limited liability.
- j) Has a perpetual existence.

Advantages of public limited company

- i) **Wide range of sources of capital:** It has access to wide range of sources of capital especially through the sale of shares and debentures
-They can also borrow money from financial institutions in large sums and have good security to offer to the lenders.
- ii) **Limited liability:** Like private companies, public limited company's shareholders have limited liability i.e. the shareholders are not liable for the company's debts beyond the shareholders capital contribution.
- iii) **Specialized management:** PLC'S are able to hire qualified and experienced professional staff.
- iv) **Wide choice of business opportunities:** Due to large amount of capital a public company may be suitable for any type of investment
- v) **Share transferability:** Shares are freely transferable from one person to another and affects neither the company's capital nor its continuity.
- vi) **Continuity:** PLC has a continuous life as it is not affected by the shareholders death, insanity, bankruptcy or transfer of shares
- vii) **Economies of scale:** Their large size enables them to enjoy economies of scale operations. This leads to reduced costs of production which raises the levels of profit
- viii) **Employee's motivation:** They have schemes which enable employees to be part owners of the company which encourages them to work harder in anticipation of higher dividends and growth in the value of the company's shares.
- ix) **Share of loss:** Large membership and the fact that capital is divided into different classes' means that the risk of loss is shared and spread.
- x) **Shareholders are safe guarded;** Publicity of company accounts safeguard against frauds.

Disadvantages of public limited companies

- i) **High costs of formation:** The process of registering a public company is expensive and lengthy. Some of the costs of information are legal costs, registration fees and taxes

- ii) **Legal restrictions:** A public company must comply with many legal requirements making its operations inflexible and rigid
- iii) **Alienation of owners:** Shareholders non-participation in management is a disadvantage to them
- iv) **Lack of secrecy:** The public limited companies are required by law to submit annual returns and accounts to the registrar of companies denying the company the benefit of keeping its affairs secret. They are also required to publish their end of year accounts and balance sheets.
- v) **Conflicts of interests:** Directors may have personal interests that may conflict with those of the company. This may lead to mismanagement.
- vi) **Decision making;** Important decision is made by the directors and shareholders. The directors and shareholders meet after long periods which make decision making slow/delayed and expensive.
- vii) **Diseconomies of scale:** The large size and nature of business operations of public limited companies may result in high running/operation costs and inefficiency
- viii) **Double taxation:** There is double taxation since the company is fixed and dividends distributed to the shareholders are also taxed
- ix) **Inflexibility:** Public limited companies cannot easily change its nature of business in response to the changing circumstances in the market. All shareholders must be consulted and agree.

DISSOLUTION OF A COMPANY

The following are the circumstances that may lead to the dissolution of a company:

- ✓ Failure to commence business within one year- If a company does not commence business within one year from the date of registration, it may be wound up by a court order on application of a member of the company.
- ✓ Insolvency – when a company is not able to pay its debts, it can be declared insolvent and wound up.
- ✓ Ultra- vires – this means a company is acting contrary to what is in its objective clause. In such a case, it may be wound up by a court order.
- ✓ Amalgamation – two or more companies may join up to form one large company completely different from the original ones.
- ✓ Court order – the court of law can order a company to wind up especially following complaints from creditors.
- ✓ Decision by shareholders – the shareholders may decide to dissolve a company in a general meeting.
- ✓ Accomplishment of purpose or expiry of period of operation – a company may be dissolved on accomplishment of its objects, or on expiry of period fixed for its existence.

THE ROLE OF STOCK EXCHANGE AS A MARKET FOR SECURITIES

DEFINITIONS

(1) Stock: a group of shares in a public limited company

-Stocks are formed when all the authorized shares in a particular category have been issued and fully paid for.

(2) Stock exchange market: is a market where stocks from Quoted companies are bought and sold

-Stock exchange markets enable shareholders in public companies to sell their shares to other people, usually members of the public interested in buying them.

(3) A Quoted Company: is a company that has been registered (listed) as a member of the stock exchange market.

-Companies that are not quoted cannot have their shares traded in the stock exchange market.

(4) Securities: this could either refer shares or documents used in support of share ownership.

(5) Initial Public Offer (I. P. O): refers to situations in which a company has floated new shares for public subscription (Has advertised new shares and has invited members of the public to buy them).

(6) Secondary market: The market that deals in second hand shares i.e. the transfer of shares from one person or organization to another.

There is only one stock exchange market in Kenya i.e. **The Nairobi Stock Exchange**.

A person wishing to acquire shares will do so either at an **IPO** or in the **secondary market**.

However, an investor cannot buy or sell stocks directly in the stock exchange market. They can only do so through stock brokers.

ROLES OF THE STOCK EXCHANGE MARKET

(a) **Facilitates buying of shares-** it provides a conducive environment to investors who want to buy shares in different companies.

(b) **Facilitates selling of shares-** it creates a market for those who wish to sell their shares.

(c) **Safeguarding investors' interests-** it monitors the performance of the already quoted companies and those found not meeting expectations are struck off. Companies who want to be quoted must also attain a certain standard of performance.

(d) **Provides useful information-** it provides timely, accurate and reliable information to investors which enable them to make decisions on the investments to make. The information is passed on through mass media and stock brokers.

(e) **Assist companies to raise capital-** it assists companies to raise capital by creating an environment through which companies issue new shares to members of the public in an **IPO**.

(f) **Creation of employment-** it creates employment for those who facilitate the buying and selling of shares e.g. stock brokers, stock agents etc.

(g) **Raising revenue for the government-** the government earns revenue by collecting fees and other levies/ dues from activities carried out in the stock exchange market.

(h) **Availing a variety of securities-** it avails a variety of securities from which an investor can choose from. The market therefore satisfies needs of various investors e.g. investors who wish to buy from different companies can do so in the market.

(i) **Fixing of prices-** the stock exchange market is in a position to determine the true market value of the securities through the forces of demand and supply. This is of great importance to both the buyer and the seller.

(j) **Measures a country's economic progress-** the performance of securities in the stock exchange market may be an indicator of a country's economic progress e.g. a constant rise in prices and volumes of securities traded within a given period of time would indicate that the country's economy is positively growing.

(k) **Promotes the culture of saving-** it provides investors with opportunities to channel their excess funds. Such people act as role models to other members of the society who may emulate them thereby promoting a saving culture.

5. PUBLIC CORPORATIONS (STATE CORPORATIONS)

These are organizations formed by and/or controlled by the government (the government has a controlling interest). This means that the government owns more than 50% shares in the corporation. Where the government has full ownership, the organization is known as a parastatal

- ❖ Public corporations are formed to perform certain/specific functions on behalf of the government.
- ❖ They are formed to provide essential services that are generally in the public interest, and that may require heavy initial capital investment which few private investors can afford
- ❖ They are formed by the act of parliament.

Examples

- Kenya Railways corporation- provides railway transport
- Telkom Kenya-provides telecommunication services
- Postal corporation of Kenya
- Industrial and commercial Development corporation (ICDC)- financial and management services
- Mumias and Chameli sugar companies.
- Kenya air ways- provide air transport services. etc.

Characteristics/features of public corporations

- They are formed by the government under the existing laws i.e. formed by an act of parliament egg education act
- Initial capital is provided by the government
- They are jointly owned by the government and members of public/private investors
- They are set up to perform certain specific functions on behalf of the government
- They are managed by a board of directors appointed by the government or appointed by the government and the joint owners
- They have an entity of their own and can own property, enter contracts, sue and be sued
- They have limited liability
- Some operate without a profit motive while others have a profit motive

Formation

-Some are formed by an act of parliament while others are formed under the existing laws.

-When formed by an act of parliament, the Act defines its status obligations and areas of operation. The Act outlines the following;

- Proposed name of the corporation
- Aims and objectives
- Goods or services to be produced and provided
- Location (Area of operation)
- The appointment of top executives
- The powers of the Board of directors
- The ministry under which it will operate

Management

-The public corporations are managed by a board of directors appointed by the president or the relevant minister

-The chairman and the board of directors are responsible for the implementation of the aims and objectives of the corporations.

-The chairman of the board of directors reports to the government (president) through the relevant minister.

-The managing director who is usually the secretary of the board of directors in the chief executive officer of the corporation

Sources of capital

-The initial capital is usually provided by the government as a vote of expenditure for the ministry concerned

-Those corporations jointly owned by the government and the public raise capital through the sale of shares

-financial institutions in form of loans

-Retained profits/profits ploughed back.

-Hire purchase

Advantages of public corporations

- Initial capital is readily available because it is provided by the government
- Can afford to provide goods and services at low prices which would otherwise be expensive if they were left to the private sector.
- Most of them produce goods and services in large quantities thereby reaping the benefits of large-scale production
- Some are monopolies. They hence enjoy the benefits of being a monopoly e.g. they do not have to incur costs advertising since there is no competition
- They can be bailed out/assisted by the government when in financial problems
- They have limited liability
- Money for research and development can be made readily available by the government
- Through corporations the government is able to remove foreign domination in the country
- They can afford to hire qualified personnel.

Disadvantages of public corporations

- They are managed by political appointees who may not have the necessary managerial know how.
- When they make losses, they are assisted by the government and this could lead to higher taxation of individuals
- Lack of competition due to monopoly leads to inefficiency and insensitivity to customers feelings.
- Political interference may hamper efficiency in the achievement of set goals and objectives.
- Decision-making is slow and difficult because the organizations are large.
- They may lack close supervision because of their large sizes.
- There is embezzlement of large sums of money leading to loss of public funds
- The government is forced to provide goods and services to its citizens in all parts of the country where at times it is uneconomical to provide them because the costs of providing them may surpass the returns
- Public funds are wasted by keeping poorly managed public corporations.
- Diseconomies of scale apply in these business units because they are usually very large-scale organizations e.g. decision making may take long.

Dissolution of public corporations

They can only be dissolved by the government due to:

1. Persistent loss making
2. Bankruptcy- where the corporation cannot pay its debts
3. Change in the act of parliament that formed the corporation
4. Privatization
5. Mismanagement, resulting in poor management of the corporation

Factors to be considered when starting a small enterprise

Capital. Entrepreneurs have to invest in a certain amount of personal money for the start of their business. He should know the sources of capital.

Business opportunity. An entrepreneur should not start a business similar to existing ones without determining whether the market can accommodate all of them.

Entrepreneurial skills and knowledge. An entrepreneur should know his competencies, attitudes and skills that will benefit his business.

Competitors. A person wishing to start a small business should know his or her competitors and the quality of products, so that he or she can make his products even better.

Legal requirements. It's important for an entrepreneur to know the legal requirements of starting a business because the legal requirements may prohibit or restrict consumption of certain commodities.

Business premises. The location of a business is a key factor to consider. The following factors should be put in mind

- ✓ Transport facilities
- ✓ Availability of energy power
- ✓ Nearness to raw materials
- ✓ Expansion ability in future
- ✓ Availability of auxiliary services like banking

Procedures of Starting a small business

- ✓ Identification of a business idea
- ✓ Development of a business plan
- ✓ Location of a business demand evaluation
- ✓ Registration of the business
- ✓ Choice of the business organization
 - Business name
 - Trading licenses / permit
- ✓ Start-up and management of the business.
- ✓ All entrepreneurs are business people – though not all business people are entrepreneurs.

- ✓ Entrepreneurs tend to be more innovative than ordinary business people and end up developing a business plan.

Business life cycle

Business life cycles refer to the phases that a business passes from the time the idea is formed in the entrepreneur's mind to the time business' rolls and expands or even declines. Many businesses go through six stages in their life. Others may go through five stages:

I. Idea Generation stage

This is the preliminary stage for the business. Here, the entrepreneur does a lot of ground work to assess the viability of the venture he is about to get into. At this stage, he comes up with the business idea. Several needs may require to be fulfilled but the entrepreneur may not meet all of them; it becomes necessary at this stage to select the most viable business idea from the many available. This stage may involve creativity and assessment of various ideas. It is at this stage that an entrepreneur decides on the business mission, scope and direction. This means, an entrepreneur gives the prospective business a purpose. Some purposes may include provision of services and to make profit. He will carry out due diligence to ensure he has taken all important factors into account before setting off the business. He will incur expenses to execute some of these important activities. He may for instance require the services of a legal representative to acquire land. He may also hire the services of a surveyor if he wants to build his own premise, if he will hire personnel to assist in running the business, he should ensure that he has sufficient funds to get a loan to do this.

II. Start - up stage

Activities at the start up stage may involve preparation of a formal business plan, registration of the business, sourcing capital, recruiting staff and designing also launch the product and sign up with distributors or dealers. At this stage, the entrepreneur has already set the business up. The business is operational despite the setbacks that befall all businesses that he may need to make adjustments in order to survive. He may see the need to insure the property in case he hadn't. He may also realize that he does not need an extra staff hence he may cut down on that, sales may be slow in picking up, so he may decide to come up with new marketing strategies, He may see the need to have proper records for tax purposes.

III. Growth stage

At the growth stage of business common experiences may include:

- ✓ Increased sales and profits
- ✓ Wider market coverage in terms of geographical regions.
- ✓ A growing number of employees
- ✓ Variety of products/services

- ✓ Increased competition
- ✓ Need for additional expenditure

During this phase, the business will experience rapid growth as customers' needs become the main focus for the entrepreneur. It is at this stage that he will realize there is need to gain a competitive edge in order to make more sales. The entrepreneur at this stage may think seriously about automating his operations, hiring professionals like accountants, perhaps even expanding the business. The signs that these requirements are necessary will be felt by the growing need to meet the increasing and dynamic needs of the customer

IV. Stabilization Stage

- ✓ At this stage, the business sales and profits stagnate. The business may also experience; intensified competition.
- ✓ There is also market saturation by similar ("look like") products
- ✓ Consumers' indifference to the-product
- ✓ Sales may decline and consequently profit may decline.

This is the phase that determines whether the business has managed to meet its long-term objectives and a period to assess how successful the short-term objectives have been met. At this stage, the entrepreneur is more concerned about corporate governance, issues and how these impacts on customer needs. He will also be concerned with the management of the business in various departments such as finance, sales and marketing. The entrepreneur will have his sights on a higher level of competition with other, firms that belong to a higher circle, hence he sees the need of turning the business into a public limited company in order to compete as such levels. This model can be applied to the growth or otherwise of a firm. The entrepreneur thus needs to ensure that the business opportunity he has before him has a road map charted in advance and based on due diligence. This does not mean that every firm will follow the above model. The entrepreneur needs to be aware of the possible outcomes.

V. Innovation Stage

Organizations that fail to innovate at stabilization stage are likely to decline. To ensure the firm comes back to growth, the entrepreneur is required to re- look at the ways business has been conducted. The aim is to undertake activities differently and rescue the firm from decline. It is expected that innovative strategies would ensure accelerated growth.

Among innovative attempts include:

- ✓ **Change of management** the aim is to bring new-and better ideas that will ensure the firm is back to the growth path.
- ✓ **Re- package the product/ service.** This would ensure the market gets the impression of a new product that is modified and. better than the former. It is also a strategy of winning customers back from competitors.

- ✓ **Change the technology.** The aim of new technology is to ensure efficiency in production and enhance customer service. It is important that the entrepreneur chooses a technology that matches the type of business he is doing
- ✓ **New distribution methods.** The firm may also design new distribution methods. Changing the distribution strategy would ensure customers access their products at the convenient places especially providing personalized distributions to customers or even ensuring 24-hour service to customers
- ✓ **Advertise and promote differently.** The firm may decide go to different regions and promote its product or services.

VI). Decline Stage

This stage is not in the normal plan of business. The entrepreneur does not foresee business declining at the start- up stage. Some of the experiences at this stage include: -

- ✓ **Drastic fall in sales and profits** this is as a result of customers moving to competitors and in large numbers. It is also a result of consistent expenditure against limited income.
- ✓ **Consumer indifference to the product/ service** this means consumers no longer prefer the product to competing brands. The entrepreneur may experience huge stocks of unsold product.
- ✓ **Inability to meet bills/ debts** as they fall due this arises from persistent low income or losses against increased expenditure.
- ✓ **Key management staffs leave the organizations.** This may result-from the organizations inability to remunerate top managers or provide them ' with adequate facilities for their performance of various tasks.

Challenges faced when starting a small business

- ✓ Poor infrastructure facilities including power is a challenge.
- ✓ Deficiency in managerial and technical skills needed for the operation of the business.
- ✓ Financial challenges/shortages because it's difficult or are limited to access external sources of funds.
- ✓ In a male dominated society, women entrepreneurs find it difficult to cope up with pressure and tensions of managing an enterprise.
- ✓ Lack of planning -an entrepreneur should have a well-developed plan with clear objectives prior to starting any venture.
- ✓ Government limitations-the government tends to back the larger business enterprise making the small enterprise less attractive especially when it comes to bank lending.
- ✓ Environmental changes-the economic, political, social and technical environment all are a challenge to the entrepreneur.
- ✓ Legal requirements like licenses are also a challenge to operate certain businesses
- ✓ Lack of necessary entrepreneurial skills, knowledge and traits.
- ✓ High level of completion.

Resources for a business

A resource refers to anything that can be used to achieve an objective. These resources include;

- a. **Human resource**-Human resource (personnel) refers to the employees working in an organization. Employees will only be useful if they have the necessary knowledge and skills to successfully carry out the assigned tasks. It is therefore necessary for the management to match the correct people with the correct Job activities; this will ensure success for the business.
- b. **Financial resource**-Money is required in order to start and operate a business. A business with adequate finances that are properly allocated to various activities and also monitored is likely to do better than the one lacking such aspects.
- c. **Physical resources**-These include tangible facilities which belong to the business such as buildings, machinery, furniture and stock. Availability of such facilities enables the business to operate.
- d. **Technology**-This refers to skills and methods used in production. Use of modern technology enhances production of goods and services.

Sources of finance for a business

Businesses can acquire finances from various sources. These include;

Owner's Capital

This is often the only source of capital available for the sole trader starting in business. The same often applies with partnerships, but in this case, there are more people involved, so there should be more capital available. This type of capital though, when invested is often quickly turned into long term, fixed assets, which cannot be readily converted into cash. If there is a shortfall on a Cash Flow Forecast, the business owners could invest more money in the business. For many small businesses the owner may already have all his or her capital invested, or may not be willing to risk further investment, so this may not be the most likely source of funding for cash flow problems.

Ploughed back profits

Firms make profit by selling a product for more than it costs to produce. This is the most basic source of funds for any company and hopefully the method that brings in the most money.

Borrowings

Like individuals, companies can borrow money. This can be done privately through bank loans, or it can be done publicly through a debt issue. The drawback of borrowing money is the interest that must be paid to the lender.

Issue of Shares

A company can generate money by selling part of itself in the form of shares to investors, which is known as equity funding. The benefit of this is that investors do not require interest payments like bondholders do. The drawback is that further profits are divided among all the shareholders

Overdraft

This is a form of loan from a bank. A business becomes overdrawn when it withdraws more money out of its account than there is in it. This leaves a negative balance on the account. This is often a cheap way of borrowing money as once an overdraft has been agreed with the bank the business can use as much as it needs at any time, up to the agreed overdraft limit. But, the bank will of course, charge interest on the amount overdrawn, and will only allow an overdraft if they believe the business is credit worthy i.e. is very likely to pay the money back. A bank can demand the repayment of an overdraft at any time. Many businesses have been forced to cease trading because of the withdrawal of overdraft facilities by a bank. Even so for short term borrowing, an overdraft is often the ideal solution, and many businesses often have a rolling (on going) overdraft agreement with the bank. This then is often the ideal solution for overcoming short term cash flow problems, e.g. funding purchase of raw materials, whilst waiting payment on goods produced.

Bank Loan

This is lending by a bank to a business. A fixed amount is lent e.g. Kshs.10,000 for a fixed period of time, e.g. 3 years. The bank will charge interest on this, and the interest plus part of the capital, (the amount borrowed), will have to be paid back each month. Again, the bank will only lend if the business is credit worthy, and it may require security. If security is required, this means the loan is secured against an asset of the borrower, e.g. his house if a Sole Trader, or an asset of the business. If the loan is not repaid, then the bank can take possession of the asset and sell the asset to get its money back. Loans are normally made for capital investment, so they are unlikely to be used to solve short-term cash flow problems. But if a loan is obtained, then this frees up other capital held by the business, which can then be used for other purposes.

Leasing

With leasing a business has the use of an asset, but pays a monthly fee for its use and will never own it. Think, of, someone setting up business as a Parcel Delivery Service, he could lease the van he needs from a leasing company. He will have to pay a monthly leasing fee, say Kshs.50,000, which is very useful if he does not wish to spend Ksh.800,000 on buying a van. This will free up capital, which can now be used for other purposes. A business looking to purchase equipment may decide to lease if it wishes to improve its immediate cash flow. In the example above, if the van had been purchased, the flow of cash out of the business would have been Kesh 800,000, but by leasing the flow out of the business over the first year would be Kesh 600,000, leaving a possible Kesh 200,000 for other assets and investment in the business. Leasing also allows equipment to be updated on a regular basis, but it does cost more than outright purchase in the long run in an ideal world, a company would bring in all of its cash simply by selling goods and services for a profit. At some point the company may need to invest in big investment that will yield returns in the near future. For this reason, a time will eventually come when the company will need to acquire funds from any of the above mentioned.

TOPIC 9: BUSINESS PLAN

BUSINESS PLAN

This is a written document that highlights the objectives of the business and steps to be followed in order to achieve these objectives. It indicates where the business is, where it wants to move to, how and when.

Need for the business plan

- i. A business plan is necessary to an entrepreneur for the following reasons:
- ii. Avoiding mistakes-in the process of drawing a plan; mistakes that would take place in the business are identified and corrected in the plan. This helps in avoiding the occurrence of such mistakes in the business.
- iii. Identifying strength and weaknesses-A business plan helps in identifying strengths or weaknesses and where weaknesses are detected, remedial actions may be taken early enough.
- iv. Requirement by financiers-Financial institutions such as banks may require a business plan before they can accept to finance the activities of the business.
- v. Allocation of resources-It helps to determine the resources required and plan on how and where to use them. This ensures that resources are neither underutilized nor used for the wrong purpose.
- vi. Facilitates business evaluation-A business plan helps an entrepreneur to assess the progress of the business and any deviation (difference) from the intended plan can be corrected in good time.
- vii. It helps an entrepreneur outline competition-It helps the entrepreneur to be fully aware of the market she or he plans to operate in, understand important trends and know who her/his competitors are and their strengths and weaknesses. This information aids the entrepreneur to develop products that are better than those of the competitors.
- viii. A motivating factor-A business plan is communicated to all employees in the business. This makes them aware of the direction to be taken by the business. This motivates them to work towards that direction.
- ix. Adaptability-Normally, not all events occur as predicted in the business plan. However, a well-drawn business plan should give room to accommodate any changes that might occur in the future.
- x. Tool for control-Planning involves setting of standards against which performances can be assessed. In case of deviation corrective measures can be taken.

Components of a business plan

Purpose

Executive summary

Business description

Marketing plan

Management plan

Production/operation plan

Financial plan

Expected performance

Action plan

Appendices

Purpose

This is a short 2-3 paragraph section explaining why the plan is being written. For a plan to be used in application for funds, it should clearly be stated: -

- ✓ The types of the funds being sought
- ✓ Whether loan or grant
- ✓ The reason for the funds

For loans funds should be indicated: -

- ✓ Amount required
- ✓ How the funds are to be used
- ✓ For how long the loan is required
- ✓ Proposed repayment pattern
- ✓ Security available

This section helps to understand the rest of the business plan

Executive summary

This is a short section summarizing the key points about the plan. It explains in brief the whole plan and it should obviously be written after the writing of the whole plan is completed.

Business description

For an already existing business, the details would include;

- ✓ Business form and ownership
- ✓ When started
- ✓ Past performance, success and failures
- ✓ Reason for the required assistance

For a new start up business, it would include: -

- ✓ Mission of the new venture
- ✓ Your reasons of going into business

- ✓ Why you think you will be successful in this venture?
- ✓ What development work has been completed to date?
- ✓ What are your products or services? Describe them including patent, copyright or trademark status.
- ✓ What is the location of the business and your reason for choosing the location?
- ✓ Is your building new? If it needs renovation state the cost of the renovation.
- ✓ Is the building leased or owned? (State the terms)
- ✓ What office equipment will be needed?
- ✓ Will the equipment be purchased or leased?
- ✓ What experience do you have to help you successfully implement the business plan?

Marketing plan

The marketing plan is based on the market data received in the market research activities. The marketing plan describes the marketing conditions, and strategies proposed for positioning the products and services. It also gives description of pricing distribution and promotion policies. It will include;

- ✓ A description of goods and services being produced or to be produced and their uses.
- ✓ Present market situations and their products.
- ✓ Target market and expected market share.
- ✓ Advantages of your products against competing goods or services proposed price and distribution channels.
- ✓ Expected future market growth.

Management plan

It gives details on;

- ✓ The owner/manager and other key people in the business
- ✓ Their qualifications, skills and past experience
- ✓ Their role ability to successfully carry out the proposed business or any training required.
- ✓ Their salaries and benefits.

Production/operation plan

It gives details of the manufacturing process and operations of the proposed venture. It indicates what items to be subcontracted, the cost and the time frame. It also provides the production details such as physical plant layout, the technology, the requirements of the equipment's, raw materials and the cost of manufacturing.

If the proposed new venture is not manufacturing type but service oriented; in that case, the operational plans are made. The operational plans describe in details the chronological steps involved in the business operations. Questions for productions plan include;

- ✓ Will the new venture be responsible for all part of the manufacturing operation?
- ✓ If some manufacturing is subcontracted, who will be the subcontractors? (Give names and addresses)
- ✓ On what basis will sub-contractors be selected?
- ✓ What will be the layout of the production process?
- ✓ Which raw materials will be needed for production? And which are critical?
- ✓ Who are the suppliers of the new materials and what are the appropriate costs?
- ✓ What is the cost of manufacturing the product?
- ✓ What are the future capital equipment needs of the venture? And why?

Financial plan

It gives projections of important financial data that determines the productivity of the venture and financial investments required for the venture. The financial figures are drawn by the entrepreneurs from the forecast sales and production ventures. It also indicates the projected balance sheet giving the financial conditions of the business, giving the details of assets and liabilities investment by entrepreneurs. The financial plan includes;

- ✓ Estimated cost of the proposed business
- ✓ Purchase of fixed assets including any building and machinery
- ✓ Working capital including purchase of stock, raw materials, running costs, wages, power, transport.
- ✓ Proposed sources of required funds
- ✓ Amount to be contributed by owners
- ✓ Required loan/grant

Expected performance

This section should show the expected future performance of the business in profits and increase or decrease in the business asset. This section should be prepared with the help of an accountant or consultant.

Action plan

This section gives details of the actions to be taken in implementing the business proposal showing;

- ✓ What is to be done?
- ✓ When

- ✓ By whom
- ✓ How long will it take

Appendices

This is attachment of the necessary documents in support of information contained in the business plan. This includes;

- ✓ Projectile income statements, cash flow statements and balance sheets
- ✓ Copies of past performance records
- ✓ Copies of plot maps, title deeds, allocation letters, building plans
- ✓ Copies of caves certificates

Common factors that can lead to the failure of a business plan;

- ✓ Unreasonable goals set by the entrepreneur
- ✓ Lack of commitment to the new enterprise by the entrepreneur and his team
- ✓ Inexperience and going by the trial-and-error method
- ✓ No proper SWOT analysis of the business by the entrepreneur
- ✓ No customer orientation for the proposed product or service
- ✓ Poor handling of finance matters
- ✓ Unreasonable time schedule
- ✓ No proper control for the business plan to ensure effective implementation

TOPIC 10: ICT IN ENTREPRENEURSHIP

Information is a product of data which has been given a structure and put into a context.

Communication is the art of sending and receiving messages or information from one person to another via a channel.

Technology is the generation of knowledge and processes to develop systems that solve problems and extend human capabilities.

Benefits of ICT to a small business

- ✓ Improved accuracy, internally and externally
- ✓ Services to customers that are more comprehensive than before
- ✓ Faster processing, leading to prompter responses to customers
- ✓ Information for management, not previously available, or available too late to be useful and tighter financial control.
- ✓ New customer services previously not possible.
- ✓ New sources of information to allow improved product design and marketing
- ✓ Reduced cost arising from the greater productivity of staff who are supported and assisted by appropriate computer services.
- ✓ A more attractive, cleaner working environment in some cases, helping recruitment and retention of staff.

How ICT can help a small business enterprise

ICT helps in the following activities;

Information processing tasks. These tasks range from computing and printing payroll checks, to creating presentations, to setting up websites from which customers can order products.

Decision making tasks. Involves the use of online analytical processing to manipulate information to support decision making. This ranges from performing simple queries on a database to determine which customers have overdue accounts to employ sophisticated artificial intelligence tools such as neural networks and genetic algorithms to solve a problem.

Shared information through decentralized computing

Decentralized computing is an environment in which an enterprise splits computing power and locates its functional business areas as well as on the desktop of knowledge workers. This is possible because of the proliferation of less expensive, more powerful and smaller systems including desktop computers, laptops and minicomputers. Shared information is an environment in which an organization's information is organized in one central location allowing anyone to access and use it as they need to.

Innovation. Is something new. It can be a new device, process or idea. Cellular telephones combined with computer technology may be considered innovative device. Using satellite to help navigate automobiles is an innovative process.

Questions

1. Explain the role of the following ICTS in business efficiency

- ❖ Phone
- ❖ Fax machine
- ❖ World Wide Web
- ❖ Radio
- ❖ Television
- ❖ Computer
- ❖ E-mail

2. Define and describe the following terms explaining their features and benefits.

- ❖ E-government
- ❖ E-procurement
- ❖ E-business

3. Describe the different models of e-government

TOPIC 11: EMERGING TRENDS IN ENTREPRENEURSHIP

TECHNOLOGICAL TRENDS

Technology is simple that which enables us perform activities, knowledge, skills, technologies, tools, equipment, machinery and production processes. Business operations such as production, marketing, research and development and communications, among others are affected by the level and type of technology available in the business environment. While discussing the basics of the new enterprise, the following technological aspects need close study and examination but the aspiring entrepreneurs.

Cost of acquiring new technology- the new technologies that are emerging will be costly as compared to the outdated technologies. A balance has to be achieved between the stage of the technology and the capital cost.

Standardization- the selection of the technology by the entrepreneur should help in standardizing the end products for the market acceptance and uniformity in the industry.

Availability of technical support services and maintenance- the selection of a new technology should be supported by proper maintenance and other technical services that are required to keep the equipment in order and give necessary productivity.